

**Multiple Choice:**

1. Find the exact interest on P 2,000 invested for a period from Jan 30, 2001 to September 15, 2001, if interest rate is 10%?
A. P 127.40
B. P 125.30
C. P 126.34
D. P 124.59
2. In how many years is required for P 2,000 to increase by P 3,000 if interest at 12% compounded semi-annually?
A. 7.86 years
B. 7.65 years
C. 7.23 years
D. 8.12 years
3. Find the present value in pesos, of a perpetuity of P15,000 payable semi-annually if money is worth 8% compounded quarterly.
A. P 371,719.52
B. P 371,287.13
C. P 371,670.34
D. P 371,802.63
4. Which of these give the lowest effective rate of interest?
A. 12.35 % compounded annually
B. 11.90 % compounded semi-annually
C. 12.20 % compounded quarterly
D. 11.60 % compounded monthly
5. An equipment costs P 10,000 with a salvage value of P 500 at the end of 10 years. Calculate the annual depreciation cost by sinking fund method at 4 % interest.
A. P 783.29
B. P 786.21
C. P 791.26
D. P 794.33
6. XYZ Corporation manufactures bookcases that sell for P 65.00 each. It costs XYZ Corporation P 35,000 per year to operate its plant. This sum includes rent, depreciation charges on equipment, and salary payments. If the cost to produce one bookcase is P 50.00, how many cases must be sold each year for XYZ to avoid taking a loss?
A. 2,334
B. 2,443
C. 2,223
D. 2,322
7. A debt of P 10,000 with 10 % interest compounded semi-annually is to be amortized by semi-annual payment over the next 5 years. The first due in 6 months. Determine the semi-annual payment.
A. P 1,234.09
B. P 1,255.90
C. P 1,275.68
D. P 1,295.05
8. A machine has an initial cost P 100,000 and salvage value of P 20,000. Find the straight-line method depreciation rate, expressed as a percentage of the initial cost.
A. 10 %
B. 8 %
C. 9 %
D. 11 %
9. Erwin borrowed from Tibur an amount of P 5,000 and promised to pay it in one year. After paying Tibur an advance interest of P 250, he has to pay the total amount of P 5,000 at the end of one year. What was the rate of interest?
A. 7 %
B. 2 %
C. 5 %
D. 10 %
10. What is the factor name of the formula $\frac{i(1+i)^n}{(1+i)^n - 1}$?
A. Uniform series sinking fund
B. Capital recovery
C. Single payment present worth
D. Uniform gradient future worth
11. The ratio of quick assets to current liabilities is called _____.
A. gross margin ratio
B. profit margin ratio
C. acid-test ratio
D. return of investment
12. How long (in years) will it take money to quadruple if it earns 7 % compounded semi-annually?
A. 20.15
B. 26.30
C. 33.15
D. 40.30
13. What is the present worth of two P 100 payments at the end of the third year and fourth year? The annual interest rate is 8%.
A. P 153
B. P 160
C. P 162
D. P 127
14. Money borrowed today is to be paid in 6 equal payments at the end of 6 quarters. If the interest is 12 % compounded quarterly. How much was initially borrowed if quarterly payment is P 2000.00?
A. P 10,834.38
B. P 10,382.90
C. P 10,586.99
D. P 10,200.56
15. Mr. Cruz plans to deposit for the education of his 5 years old son, P 500 at the end of each month for 10 years at 12% annual interest compounded monthly. The amount that will be available in two years is _____.
A. P 13,000
B. P 14,500
C. P 13,000
D. P 14,000



16. A machine costing P 720,000 is estimated to have a book value of P 40,545.73 when retired at the end of 10 years. Depreciation cost is computed using a constant percentage of the declining book value. What is the annual rate of depreciation in %?
- A. 28
B. 25
C. 16
D. 30
17. The cost of equipment is P 500,000 and the cost of installation is P 30,000. If the salvage value is 10% of the cost of equipment at the end of 5 years, determine the book value at the end of the fourth year. Use straight-line method.
- A. P 155,000
B. P 140,000
C. P 146,000
D. P 132,600
18. The value $\left[\frac{i}{(1+i)^n - 1} \right]$ is known as _____.
- A. sinking fund factor
B. capital recovery factor
C. uniform series present worth factor
D. uniform series compound amount factor
19. Determine the exact simple interest on P 5,000 invested for the period from January 15, 1996 to October 12, 1996, if the rate of interest is 18%.
- A. P 664.23
B. P 664.89
C. P 665.21
D. P 666.39
20. A mine is for sale. A mining engineer estimates that, at current production levels, the mine will yield an annual net income of P 80000 for 15 years, after which the mineral will be exhausted. If an investor's MARR is 15%, what is the maximum amount he can bid on this property?
21. A machine which costs P50 000 when new has a 10-year lifetime and a salvage value equal to 10% of its original value. Determine the capital recovery, based upon an interest rate of 8% per year, compounded annually.
- A. P 7,106.32
B. P 7,160.23
C. P 7,016.22
D. P 7,061.33
22. A new broiler was installed by a textile plant at a total cost of P 300,000 and projected to have a useful life of 15 years. At the end of its useful life, it is estimated to have a salvage value of P 30,000. Determine its capitalized cost if interest is 18% compounded annually.
- A. P 323,500.33
B. P 322,549.33
C. P 332,509.33
D. P 341,240.33
23. A duplicating machine was purchased at P 80,000. What is the capitalized cost of perpetual service of this machine if its annual cost is P 12,000? Use interest rate of 6%.
- A. P 260,000
B. P 280,000
C. P 270,000
D. P 290,000
24. A multinational company, has a total gross income for a particular year of P 50,000,000. The taxable income after taking all deductions except for depletion is P 18,500,000. What is the allowable depletion allowance for that particular year? Take percentage of gross income for oil as 22%.
- A. P 9,358,410
B. P 9,228,450
C. P 9,250,000
D. P 9,308,450
25. Maintenance expenditures for a structure with a twenty-year life will come as periodic outlays of P 1,000 at the end of the fifth year, P 2000 at the end of the tenth year, and 3500 at the end of the fifteenth year. With interest at 10%, what is the equivalent uniform annual cost of maintenance for the twenty-year period?
- A. P 225
B. P 285
C. P 298
D. P 262
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